

metal in Louisiana. It was thought somewhat distressing when, in the next weeks, many of them were seen back at their old haunts. Whatever the facts, there was a run on the bank—people seeking to convert their notes not into the stock of the Mississippi Company but into gold. On one July day in 1720, 15 people lost their lives in the crush in front of the Banque Royale. The notes were declared no longer convertible. Values, and not just those of the Mississippi stock, collapsed. Citizens who a week before had been millionaires—an indispensable term that was given to us by these years—were now impoverished.

Next came the predictable anger, the search for the individual or institution to be blamed. The search did not have far to go. In the preceding months a grateful sovereign had raised the foreigner, gambler, and escaped murderer John Law to the highest public post in the kingdom, where, in fact, he instituted some useful economic and tax reforms: idle lands of the clergy were given to the peasants, local tolls were abolished, and tariffs reduced. He had also become Comptroller General of France and had been made the Duc d'Arkansas, a title one wishes might have survived. Now John Law became the object of the most venomous condemnation. Protected by the Regent, he got out of France and spent four years in England, where he was granted amnesty on the murder charge against him. He then went on to Venice, where for the time that remained to him, according to the Duc de Saint-Simon, he “lived, in decent poverty, a quiet and virtuous life, died there in the Catholic faith, piously receiving the Sacraments of the Church.”

It is possible to see here again the constants in these matters. Associated with the wealth of the Banque Royale, Law was a genius—intelligence, as ever, derived from association with money. When the wealth dissolved and disappeared, he was a fugitive mercilessly reviled. That Law had a captivating self-assurance seems certain, and this served him well with the Regent and the Parisian public. That what he did, however, was either highly original or minimally sensible is gravely in doubt. Men of genius do not destroy themselves along with so many others and invite such a dismal end.

In the aftermath, as in Holland after the tulips, the French economy was depressed, and economic and financial life was generally disordered—in the slightly exaggerated words of Saint-Simon, with “a tiny minority enriched by the total ruin of all the rest of the people.” But, as in Holland